

CHAPTER 4

ENTREPRENEURIAL SKILLS - II

INFORMATION TECHNOLOGY (402)
ARTIFICIAL INTELLIGENCE (417)

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Entrepreneur

The term "entrepreneur" originates from the French word "entreprendre," which translates to "to do something" or "to undertake." An entrepreneur is someone who initiates a new business venture, taking on significant risks while also reaping the majority of the rewards. Howard W. Johnson defines an entrepreneur as a blend of invention, innovation, and adaptation.

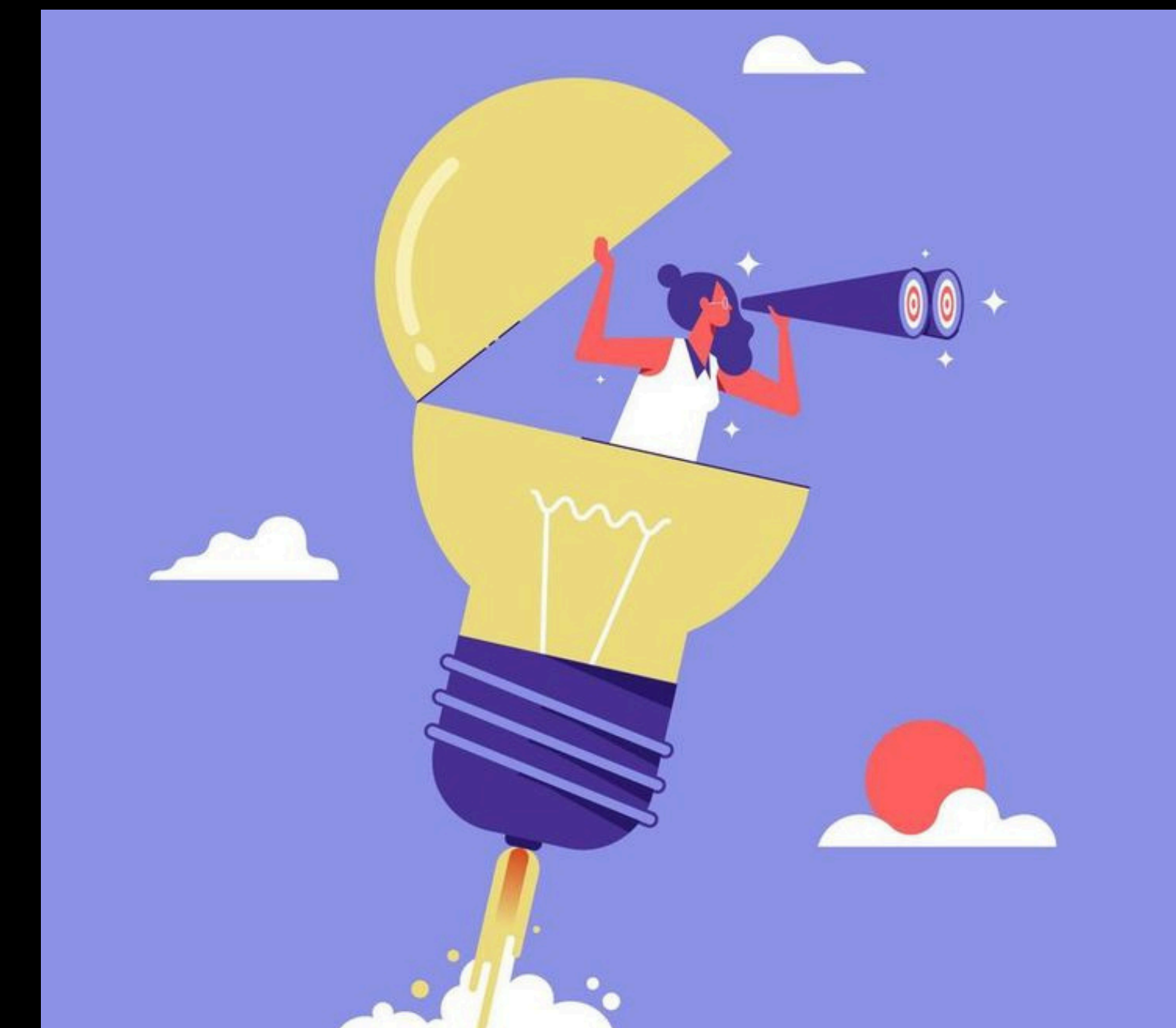
The concept of entrepreneurship encompasses the various actions and functions that entrepreneurs perform as they establish new enterprises. Joseph Schumpeter describes entrepreneurs as innovators who leverage the entrepreneurial process to disrupt the existing market by introducing new products and services.

Entrepreneurship and Society.

Entrepreneurship means starting a business using available resources. When businesses succeed, they positively affect society. Entrepreneurs provide goods and services, while society creates a market for these products.

Entrepreneurship has several positive effects on society, such as:

- Boosting economic growth
- Encouraging creativity
- Driving innovation and efficiency
- Creating jobs and new job opportunities
- Addressing social problems
- Supporting community well-being



Entrepreneurship and Society.

Society helps boost entrepreneurship in several ways:

- It creates needs and demands.
- It provides raw materials.
- It enables financial support.
- It creates a need for education.
- It helps form and reform policies.
- It facilitates networking.
- It supports infrastructure development.



However, entrepreneurship can also have negative effects on society. These include environmental degradation, trade imbalance, and labor exploitation.

Types of Entrepreneurship Activities

Some common entrepreneurship activities related to society include:

(a) Social Entrepreneurship:

Social Entrepreneurship creates lasting solutions to social problems and brings about positive change using entrepreneurial methods. Social entrepreneurs start by researching and clearly defining a specific social issue. They address various problems, such as limited access to quality education, health and sanitation issues, unemployment, and child labor.

(b) Agricultural Entrepreneurship:

Agricultural Entrepreneurship can be defined as being primarily related to the marketing and production of inputs and products used in agricultural activities.

Farmers have benefited the most with rise in agricultural entrepreneurship as it has led to low-cost innovations in farming processes.

Types of Entrepreneurship Activities

(c) Women Entrepreneurship:

Women entrepreneurship means when women start and run their own businesses. They take on risks, create jobs, organize resources, and come up with new ideas for products and services. "An enterprise owned and controlled by a women having a min. financial interest of 51% of the capital giving atleast 51% employment generation in the enterprise to women".

(d) Small Scale Entrepreneurship:

Small scale entrepreneurship refers to starting industries in which manufacturing, trading, providing services, productions are done on a small scale or micro scale. These businesses serve as the backbone of many developing countries.

Characteristics of Entrepreneurs

Successful entrepreneurs possess certain key qualities:

- **Leadership**: They articulate ideas clearly and support their team in achieving goals.
- **Risk-Taking**: Entrepreneurs are willing to invest time and money while having backups in place for risks.
- **Innovativeness**: They adapt to changing customer needs through innovative ideas, exploring multiple types of innovation.
- **Goal-Oriented**: Focused on clear, measurable targets to maximize business results.
- **Decision-Maker**: They make informed decisions to bring their business ideas to fruition.

Characteristics of Entrepreneurs

- Highly Optimistic: Successful entrepreneurs remain hopeful, despite current challenges.
- Motivator: They foster teamwork and encourage cooperation among employees.
- Self-Confident: Confidence is essential for convincing their team and pursuing goals.
- Action-Oriented: They maintain a proactive approach in planning and execution.

Characteristics of Entrepreneurs

- **Dynamic Agent:** Entrepreneurs create new needs and means to satisfy them, visualizing new ventures and plans.
- **High Achiever:** They possess a strong drive to succeed, characterized by high achievement motivation.
- **Trust in Self:** Entrepreneurs have confidence in their decisions and perseverance, relying on their creations rather than luck.

Functions of an Entrepreneur

The key functions of an entrepreneur include:

- **Innovation:** Introducing new products, markets, sources of raw materials, and organizational structures.
- **Risk-Taking:** Making choices among various alternatives, accepting inherent risks.
- **Decision-Making:** Setting and adjusting the organization's aims and objectives based on changing conditions, and making effective financial decisions.
- **Organisation and Management:** Planning, coordinating, controlling, supervising, and directing economic and human resources.
- **Size and Scale of Business:** Deciding on the scale of production (small, medium, or large) based on product demand.

Functions of an Entrepreneur

- Appointment of Workforce: Recruiting management and other staff according to the enterprise's needs.
- Factors of Production: Ensuring appropriate proportions of land, labor, and capital to maximize output.
- Control and Direction: He must control and direct all departments effectively and promptly.
- Finding Suitable Market: Conduct thorough research to identify a suitable market for the products. Prioritize advertising, appointing sales agents, and providing incentives to intermediaries to boost sales.

New Inventions and Innovations

- **New Inventions and Innovations:**

Encouraging new inventions and innovations is essential in production, sales, marketing, and advertising.

- **Establishing Relations with Government:**

Entrepreneurs should build strong relationships with government entities for obtaining licenses, paying taxes, selling products, and managing export-import needs.

- **Establishing Contacts with Competitors:**

It's important for entrepreneurs to connect with competitors to analyze the market and leverage opportunities.

Role and Significance of Entrepreneurs

- **Organiser of Resources:** Entrepreneurs assemble and coordinate society's natural, physical, and human resources to drive economic activities.
- **Capital Formation:** They play a crucial role in increasing capital formation, which is vital for a country's economic development.
- **Employment Opportunities:** By establishing new industries and expanding existing ones, entrepreneurs create significant employment opportunities.



Role and Significance of Entrepreneurs

- Innovation in Production: They seek to improve production techniques through experimentation, enhancing the quality and efficiency of products and services.
- Visionary Leadership: Entrepreneurs have a clear vision, enabling them to identify profitable opportunities and develop effective strategies.
- Implementation of Policies: They contribute significantly to executing government policies and advancing national goals.

Contribution of Entrepreneurs to Government Policies and the Economy.

Entrepreneurs play a crucial role in implementing government policies and achieving national goals by cooperating with the government on development plans. They enhance productivity by producing more goods and services with fewer inputs.

As initiators, entrepreneurs generate business ideas and plan their realization. They are also the primary risk takers, securing capital and bearing responsibility in case of failure.

In a capitalist system, entrepreneurs drive competition and innovation, controlling the market as competitors and leaders. They serve as the "balancing wheel" of the modern economy, creating wealth and employment while shaping public demand and advancing technology.

Questions

[QUESTION]: An entrepreneur should have an vision.

[QUESTION]: How much percentage of the employment is generated in the enterprise to women?

[QUESTION]: Name any two functions of entrepreneur.

[QUESTION]: What is risk taker?

THANK - YOU

